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Case Number: 23TRCV01531 Hearing Date: September 15, 2026 Dept: P

Motion for Attorney's Fees

Moving Party: Defendants Brian Kellough and Aileen Kellough

Responding Party: Plaintiffs Marlon Ramos and Crystal Ramos

RULING

The court considered the moving papers, opposition, and reply. Moving Defendants' Motion for Attorney's Fees is GRANTED in the total amount of \$107,470.00, consisting of \$106,120.00 in previously incurred fees and \$1,350.00 in anticipated fees pertaining to the instant motion.

PROCEDURAL BACKGROUND

On May 15, 2023, Plaintiffs Marlon Ramos and Crystal Ramos (collectively, "Plaintiffs") filed a complaint against Defendants Brian Kellough, Aileen Kellough, Palm Realty Boutique, Inc., Raajan Shankla, EXP Realty of California, Inc., Christina R. Phillips, and DOES 1 through 20, inclusive (collectively, "Defendants"), alleging seven causes of action for: (1) Breach of Contract; (2) Negligence; (3) Breach of Fiduciary Duty; (4) Negligence Per Se; (5) Negligent Misrepresentation; (6) Fraudulent Concealment; and (7) Intentional Misrepresentation.

On June 2, 2026, the court entered judgment in favor of Defendants Brian Kellough and Aileen Kellough (collectively, "Moving Defendants") as to each cause of action pled in Plaintiffs' complaint.

On June 17, 2026, Moving Defendants filed a memorandum of costs.

On June 18, 2026, Moving Defendants filed the instant motion. On September 1, 2026, Plaintiffs filed an opposition. On September 8, 2026, Moving Defendants filed a reply.

On July 2, 2026, Plaintiffs filed a Motion to Tax Costs. On September 1, 2026, Moving Defendants filed an opposition. On September 8, 2026, Plaintiffs filed a reply.

FACTUAL BACKGROUND

This action concerns Plaintiffs' purchase of real property (the "Subject Property") from Moving Defendants. (Complaint, ¶¶ 12-14.) Plaintiffs allege that on January 20, 2022, Plaintiffs and Moving Defendants entered into an agreement to purchase and sell the Subject Property. (Complaint, ¶ 30.) Plaintiffs allege that Moving Defendants confirmed to Plaintiffs that they possessed the requisite permits for remodeling work, yet the City of Torrance inspector subsequently visited the Subject Property and informed Plaintiffs that Moving Defendants had failed inspections and had attempted to perform work without permits. (Complaint, ¶¶ 17, 21.) Plaintiffs allege that Felipe Segovia was a city inspector who had previously inspected the Subject Property. (Complaint, ¶ 24.) Plaintiffs allege that after rainwater began leaking through the roof of the Subject Property, Moving Defendants requested that a site inspection at the Subject Property be conducted. (Complaint, ¶ 25.) Next, Plaintiffs allege that city inspector Leaf Stilson sent to Mr. Segovia a lengthy list of items not permitted by the city and not inspected. (Complaint, ¶ 27.) Plaintiffs allege that Moving Defendants purchased the Subject Property as a 3-bedroom, 1-bathroom house comprising 1106 square feet which was never legally improved to a 3-bedroom, 2-bath, 1306 square foot house as represented. (Complaint, ¶ 28.)

LEGAL STANDARD

A prevailing party is entitled to recover costs, including attorneys' fees, as a matter of right. (See Code Civ. Proc. Sections 1032(a)(4), 1032(b), and 1033.5.) In a breach of contract action, attorneys' fees shall be awarded when a contract provides that one of the parties or the prevailing party shall be awarded attorneys' fees in an action on that contract. (See Civ. Code Section 1717.)

The fee setting inquiry in California ordinarily begins with the "lodestar" method, i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. A computation of time spent on a case and the reasonable value of that time is fundamental to a determination of an appropriate attorneys' fee award. The lodestar figure may then be adjusted, based on consideration of factors specific to the case, in order to fix the fee at the fair market value for the legal services provided. (*Serrano v. Priest* (1977) 20 Cal.3d 25, 49.) Such an approach anchors the trial court's analysis to an objective determination of the value of the attorney's services, ensuring that the amount awarded is not arbitrary. (*Id.* at 48, n. 23.) After the trial court has performed the lodestar calculations, it shall consider whether the total award so calculated under all of the circumstances of the case is more than a reasonable amount and, if so, shall reduce the section 1717 award so that it is a reasonable figure. (*PLCM Group v. Drexler* (2000) 22 Cal.4th 1084, 1095-1096.)

The factors considered in determining the modification of the lodestar include the nature and difficulty of the litigation, the amount of money involved, the skill required and employed to handle the case, the attention given, the success or failure, and other circumstances in the case. (*EnPalm, LLC v. Teitler Family Trust* (2008) 162 Cal.App.4th 770, 774 (emphasis in original).) A negative modifier was appropriate when duplicative work had been performed. (*Thayer v. Wells Fargo Bank, N.A.* (2001) 92 Cal.App.4th 819.)

In challenging attorneys' fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with a sufficient argument and citations to the evidence. (*Premier Medical Management Systems, Inc. v. California Ins. Guaranty Assoc.* (2008) 163 Cal.App.4th 550, 564.) General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice. (*Ibid.*)

DISCUSSION

Moving Party's Argument

Moving Defendants argue that they are the prevailing party pursuant to the court's judgment entered on June 2, 2026, and seek an award of \$129,090.00 in previously incurred attorney's fees and \$29,794.03 in costs. Moving Defendants argue that the parties' Real Estate Purchase Agreement ("RPA") contains a provision entitling the prevailing party to recover reasonable attorney's fees and costs. Moving Defendants argue that their requested attorney's fees are reasonable based on the

prevailing market rate for comparable legal services in Los Angeles, and Moving Defendants' counsel anticipates three additional hours to review Plaintiffs' opposition, draft a reply brief, and attend the hearing on the instant motion. Moving Defendants seek a total of \$130,815.00 in attorney's fees, including the anticipated fees.

Opposing Party's Argument

Plaintiffs argue that the court has discretion to determine that there was no prevailing party for the purposes of Civil Code Section 1717 and argue that the court did not clearly identify a prevailing party in its judgment. Thus, Plaintiffs argue that the court impliedly found that there was no prevailing party with respect to Section 1717. Plaintiffs further argue that they settled with other Defendants and thus received a net monetary recovery. Plaintiffs next argue that if Moving Defendants are the prevailing parties, then their requested fees should be reduced because Moving Defendants' counsel's billing records include multiple entries for merely administrative tasks. Plaintiffs also object to Moving Defendants' counsel's time billed before the answer was filed but note that Moving Defendants only claim to be entitled to fees incurred since the answer was filed according to Moving Defendants' counsel's declaration. Finally, Plaintiffs argue that the requested rate for associates should be reduced.

Reply Argument

Moving Defendants argue that they are the prevailing parties in this action because the court entered judgment in their favor and further argue that their counsel produced the billing records showing precisely what tasks were performed. Moving Defendants argue that counsel's hourly rates are in line with the prevailing rate for similar work in Los Angeles County and reiterate their argument that Moving Defendants' fees incurred were reasonable and necessary based on more than three years of litigation.

Merits of the Motion

A. Entitlement to Fees

Code of Civil Procedure Section 1033.5 allows a prevailing party in an action to recover attorney's fees when authorized by contract, statute, or law. (Code Civ. Proc. Section 1033.5(a)(10).) Civil Code Section 1717 permits the recovery of attorney's fees "[i]n any action on a contract" if the contract provides for an award of attorney's fees. (Civ. Code Section 1717(a).) Civil Code Section 1717(b) states that "the party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract," although there is no prevailing party for purposes of Section 1717 where an action has been voluntarily dismissed or dismissed pursuant to a settlement of the case. (Civ. Code Section 1717(b).)

Code of Civil Procedure Section 1032(a)(4) provides:

" 'Prevailing party' includes the party with a net monetary recovery, a defendant in whose favor a dismissal is entered, a defendant where neither plaintiff nor defendant obtains any relief, and a defendant as against those plaintiffs who do not recover any relief against that defendant."

(Code Civ. Proc. Section 1032(a)(4).)

Here, on June 2, 2026, the court entered judgment in Moving Defendants' favor as to each cause of action pled in Plaintiffs' complaint. Additionally, paragraph 22 of the parties' Residential Purchase Agreement expressly provides that "[i]n any action, proceeding, or arbitration between Buyer and Seller arising out of this Agreement, the prevailing Buyer or Seller shall be entitled to reasonable attorney fees and costs from the non-prevailing Buyer or Seller, except as provided in paragraph 30A [which governs mediation]." (Kalter Decl., Exh. 1, p. 12.)

Therefore, the court rules that Moving Defendants are the prevailing parties, and because the Residential Purchase Agreement contains an attorney's fee provision, Moving Defendants are entitled to recover attorney's fees incurred while litigating this case.

B. Reasonableness of Fees

1. Hourly Rates

Here, Moving Defendants' counsel declares that the "current hourly rate for attorney time is \$575.00 and paralegal time is \$275.00." (Kalter Decl., ¶ 4.) Kalter further declares that his hourly rate has ranged from \$450/hr to \$575/hr, the partner rate has ranged from \$575/hr to \$775/hr, and the paralegal rate has ranged from \$215/hr to \$275/hr. (Kalter Decl., ¶ 4.)

Plaintiffs argue that Moving Defendants' counsel has not laid any foundation for its requested associate rate of \$575/hr and argue that the partner rate is inflated and warrants reduction.

In assessing the reasonableness of hourly billing rates, "the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees [citation], the difficulty or complexity of the litigation to which that skill was applied [citations], and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases." (569 East County Boulevard LLC v. Backcountry Against the Dump, Inc. (2016) 6 Cal.App.5th 426, 437.)

The court notes that Moving Defendants have not provided support for their timekeepers' requested hourly rates aside from Moving Defendants' counsel's declaration that "the above-stated rates are reasonable hourly rates and similar to the prevailing rates in the area charged by attorneys with similar experience." (Kalter Decl., ¶ 9.) Moving Defendants' counsel, Scott Kalter, declares that he has been a civil litigation attorney for nine years, but has not addressed the experience of the other timekeepers who billed for this case. (Kalter Decl., ¶ 9.)

In light of the lack of support for Moving Defendants' counsel's requested hourly rates, and in consideration of other rates charged by litigators in the Los Angeles County legal market, the court exercises its discretion to reduce Scott Kalter's requested rate to \$450/hr, partner Jason Stone's requested rate to \$500/hr, and the paralegals' requested rates to \$150/hr each.

2. Purely Administrative Tasks

Plaintiffs object to several specific billing entries, arguing that they constitute merely administrative tasks for which attorney's fees are not recoverable. (See *Missouri v. Jenkins by Agyei* (1989) 491 U.S. 274, 288 n. 10 ("purely clerical or secretarial tasks should not be billed at a paralegal rate, regardless of who performs them.").)

In challenging attorneys' fees as excessive because too many hours of work are claimed, it is the burden of the challenging party to point to the specific items challenged, with sufficient arguments and citations to the evidence. (*Premier Medical Management Systems, Inc. v. California Ins. Guaranty Assoc.* (2008) 163 Cal.App.4th 550, 564.) General arguments that fees claimed are excessive, duplicative, or unrelated do not suffice. (*Ibid.*)

First, Plaintiffs challenge six billing entries by paralegal Nicole Duran for "schedule[ing] SK for court connect and update[ing] calendar," "calendar[ing] mediation," "update[ing] calendar for deposition of Marlon Ramos," "review[ing] docket and update[ing] case list and calendar, and organiz[ing] documents in case file," "review[ing] docket and update[ing] case information," and "organiz[ing] mail in client file." (Kalter Decl., Exh. 3.) The court agrees that these entries are for purely

administrative tasks. Accordingly, the court exercises its discretion to reduce Nicole Duran's total hours billed by 2.6 hours.

Next, Plaintiffs object to the October 9, 2023 entry by attorney Laura Park for "review[ing] case file; Mtg w/SK re Case Management Conference; prepare email to ND re Demurrer and Motion to Strike." (Kalter Decl., Exh. 3.) The court finds that these tasks are reasonably necessary to the litigation and do not constitute purely clerical or administrative tasks. Thus, the court declines to reduce Laura Park's total hours billed on this basis.

Plaintiffs further object to two billing entries by paralegal Heidi Degisman on September 30, 2024 for "phone call to Dept P re remote appearance and MSC Brief" and "coordinat[ing] with County Legal re MSC Brief delivery." (Kalter Decl., Exh. 3.) The court finds that these entries constitute administrative tasks. Therefore, the court exercises its discretion to reduce Heidi Degisman's total hours billed by 0.9 hours.

Plaintiffs next object to attorney Scott Kalter's April 28, 2026 entry for "manag[ing] workflow re proposed order." (Kalter Decl., Exh. 3.) The court finds that this task is broad and does not clearly encompass purely clerical work. Therefore, the court declines to reduce Scott Kalter's total hours billed on this basis.

Finally, Plaintiffs challenge three billing entries by paralegal Tracy Lee for "sav[ing] received copy of the Proposed Judgment to the file," "retriev[ing], locat[ing], and sav[ing] Court's tentative ruling for tomorrow's Motion for New Trial and confer[ring] with attorney Kalter re: the same," and "retreiv[ing] and locat[ing] the Minute Order from today's hearing on the Motion for New Trial, confer[ring] with attorney Kalter re: outcome from today's hearing, and draft[ing] Notice of Ruling per the Court's order." (Kalter Decl., Exh. 3.) The court agrees that saving the copy of the Proposed Judgment to the file, and retrieving, locating, and saving documents constitute purely clerical tasks, although conferring with counsel and drafting the Notice of Ruling are reasonably necessary to the litigation. Thus, the court exercises its discretion to reduce Tracy Lee's total hours billed by 0.4 hours.

Plaintiffs appear to challenge Moving Defendants' counsel's billing entries dated before Moving Defendants' answer was drafted but note in their opposition that Moving Defendants "only claim to be entitled to fees since the Answer was filed in counsel's declaration." (Opp. 8:22-24.) The court finds that Plaintiffs have not met their burden of clearly identifying challenged billing entries here and declines to reduce Moving Defendants' counsel's total hours billed on this basis.

In sum, the court has exercised its discretion to reduce the paralegals' total hours billed on this matter by 3.5 hours. The court notes that Plaintiffs have not challenged Moving Defendants' request for an additional three hours in attorney's time to review Plaintiffs' opposition, draft a reply brief, and attend the hearing on the instant motion, and the court finds that three hours is reasonable.

Accordingly, Moving Defendants' Motion for Attorney's Fees is GRANTED in the total amount of \$107,140.00, consisting of \$105,790.00 in previously incurred fees and \$1,350.00 in anticipated fees pertaining to the instant motion.

CONCLUSION

Based on the foregoing, Moving Defendants' Motion for Attorney's Fees is GRANTED in the total amount of \$107,140.00, consisting of \$105,790.00 in previously incurred fees and \$1,350.00 in anticipated fees pertaining to the instant motion.

Moving party is ordered to give notice of ruling.

Motion to Tax Costs

Moving Party: Plaintiffs Marlon Ramos and Crystal Ramos

Responding Party: Defendants Brian Kellough and Aileen Kellough

RULING

The court considered the moving papers, opposition, and reply. Plaintiffs' Motion to Tax Costs is GRANTED in part and DENIED in part. The court GRANTS Plaintiffs' Motion to Tax the memorandum of costs by \$2,030.00.

PROCEDURAL BACKGROUND

On May 15, 2023, Plaintiffs Marlon Ramos and Crystal Ramos (collectively, "Plaintiffs") filed a complaint against Defendants Brian Kellough, Aileen Kellough, Palm Realty Boutique, Inc., Raajan Shankla, EXP Realty of California, Inc., Christina R. Phillips, and DOES 1 through 20, inclusive (collectively, "Defendants"), alleging seven causes of action for: (1) Breach of Contract; (2) Negligence; (3) Breach of Fiduciary Duty; (4) Negligence Per Se; (5) Negligent Misrepresentation; (6) Fraudulent Concealment; and (7) Intentional Misrepresentation.

On June 2, 2026, the court entered judgment in favor of Defendants Brian Kellough and Aileen Kellough (collectively, "Responding Defendants") as to each cause of action pled in Plaintiffs' complaint.

On June 17, 2026, Responding Defendants filed a memorandum of costs.

On June 18, 2026, Responding Defendants filed a Motion for Attorney's Fees.

On July 2, 2026, Plaintiffs filed the instant Motion to Tax Costs. On September 1, 2026, Responding Defendants filed an opposition. On September 8, 2026, Plaintiffs filed a reply.

FACTUAL BACKGROUND

This action concerns Plaintiffs' purchase of real property (the "Subject Property") from Responding Defendants. (Complaint, ¶¶ 12-14.) Plaintiffs allege that on January 20, 2022, Plaintiffs and Responding Defendants entered into an agreement to purchase and sell the Subject Property. (Complaint, ¶ 30.) Plaintiffs allege that Responding Defendants confirmed to Plaintiffs that they possessed the requisite permits for remodeling work, yet the City of Torrance inspector subsequently visited the Subject Property and informed Plaintiffs that Responding Defendants had failed inspections and had attempted to perform work without permits. (Complaint, ¶¶ 17, 21.) Plaintiffs allege that Felipe Segovia was a city inspector who had previously inspected the Subject Property. (Complaint, ¶ 24.) Plaintiffs allege that after rainwater began leaking through the roof of the Subject Property, Responding Defendants requested that a site inspection at the Subject Property be conducted. (Complaint, ¶ 25.) Next, Plaintiffs allege that city inspector Leaf Stilson sent to Mr. Segovia a lengthy list of items not permitted by the city and not inspected. (Complaint, ¶ 27.) Plaintiffs allege that Responding Defendants purchased the Subject Property as a 3-bedroom, 1-bathroom house comprising 1106 square feet which was never legally improved to a 3-bedroom, 2-bath, 1306 square foot house as represented. (Complaint, ¶ 28.)

LEGAL STANDARD

"Except as otherwise expressly provided by statute, a prevailing party is entitled as a matter of right to recover costs in any action or proceeding. This means that the prevailing party is entitled to all of his costs unless another statute provides otherwise. Absent such statutory authority, the court has no discretion to deny costs to the prevailing party." (Nelson v. Anderson (1999) 72 Cal.App.4th 111, 128-129 (citations and internal quotations omitted); see also Code of Civ. Proc. Section 1032(b).)

Allowable costs under Code of Civil Procedure Section 1033.5 must be reasonably necessary to the conduct of the litigation, rather than merely convenient or beneficial to its preparation, and must be reasonable in amount. An item not specifically allowable under Section 1033.5(a) nor prohibited under subdivision (b) may nevertheless be recoverable in the discretion of the court if they meet the above requirements (i.e., reasonably necessary and reasonable in amount). If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. (*Ladas v. California State Automotive Assoc.* (1993) 19 Cal.App.4th 761, 773-774.) Whereas, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs. (*Ibid.*) Whether a cost item was reasonably necessary to the litigation presents a question of fact for the trial court and its decision is reviewed for abuse of discretion. (*Ibid.*) However, because the right to costs is governed strictly by statute, a court has no discretion to award costs not statutorily authorized. (*Ibid.*)

DISCUSSION

Moving Party's Argument

Plaintiffs object to each category of Responding Defendants' claimed costs. First, Plaintiffs challenge Responding Defendants' claimed costs for filing and motion fees on the grounds that they were not reasonably necessary to the litigation. Plaintiffs next challenged Responding Defendants' claimed deposition costs on the grounds that Responding Defendants have not provided support for the costs through documents or by declaration. Plaintiffs argue that they are unaware of any court-ordered transcripts and thus the court should strike Responding Defendants' claimed costs for court-ordered transcripts. Plaintiffs challenged Responding Defendants' claimed costs for court reporter fees because the parties agreed to split the costs of the court reporter's fee for the trial. Next, Plaintiffs argue that Responding Defendants have not explained how their exhibit-related costs were incurred and thus it cannot be determined whether the costs pertain to exhibits that assisted the trier of fact. Plaintiffs argue that Responding Defendants' claimed costs for electronic filing and service are unsupported, and further challenge Responding Defendants' claimed "other" costs on the grounds that Responding Defendants have not provided sufficient supporting information.

Opposing Party's Argument

Responding Defendants argue that filing fees and motion costs are expressly recoverable pursuant to CCP Section 1033.5 and argue that Plaintiffs have not identified any specific motion or filing that was unnecessary. Similarly, Responding Defendants contend that deposition costs are expressly recoverable and argue that the depositions were necessary for the preparation of Responding Defendants' defense. Responding Defendants argue that the court requested that the parties order transcripts of the trial proceedings in order to prepare the closing briefs. Next, Responding Defendants argue that court reporter fees are expressly recoverable, and Responding Defendants did not waive their right to seek these fees as costs. Responding Defendants argue that they incurred costs to print and deliver copies of the court-ordered transcripts to the court and argue that this cost is recoverable because it was part of the photocopies required for trial and used as exhibits. Next, Responding Defendants argue that their claimed "other" costs are for expert witness fees and mediation fees, which are recoverable because Plaintiffs rejected Responding Defendants' CCP Section 998 offer and Responding Defendants obtained a better outcome. Responding Defendants further argue that the mediation costs were reasonable and necessary because Responding Defendants attempted to settle with Plaintiffs at mediation, and the first mediation was required pursuant to the parties Residential Purchase Agreement.

Reply Argument

Plaintiffs argue that while Responding Defendants have produced a document titled “Activities Export,” Responding Defendants have not demonstrated that this document accurately reflects all allowable costs. Plaintiffs argue that Responding Defendants have not explained which court reporter costs were reasonably necessary to the conduct of the litigation and argue that Responding Defendants have not identified which exhibits were placed before the trier of fact and assisted the trier of fact. Plaintiffs acknowledge that mediation costs may be awarded in the court’s discretion.

Merits of the Motion

A. Filing and Motion Fees

Plaintiffs challenge Responding Defendants’ claimed \$1,600.00 in filing and motion fees as not reasonably necessary to the conduct of the litigation.

Code of Civil Procedure Section 1033.5(a)(1) provides that filing fees are allowable as costs under Section 1032. (Code Civ. Proc. Section 1033.5(a)(1).)

The court has reviewed Responding Defendants’ memorandum of costs and finds that Responding Defendants’ claimed \$1,600.00 appears proper on its face. A verified memorandum of costs is prima facie evidence that the costs were necessarily incurred, and the burden rests with the plaintiff to show otherwise. (Jones v. Dumrichob (1998) 63 Cal.App.4th 1258, 1266.)

Here, Plaintiffs have not submitted any evidence showing that Responding Defendants’ claimed filing and motion fees were unreasonable or unnecessary.

Therefore, the court declines to strike Responding Defendants’ claimed \$1,600.00 in filing and motion fees.

B. Deposition Costs

Plaintiffs object to Responding Defendants’ claimed \$7,326.66 in deposition costs on the grounds that Responding Defendants have provided insufficient support and have not demonstrated that the costs incurred were reasonably necessary to the litigation.

Code of Civil Procedure Section 1033.5(a)(3)(A) provides that allowable costs under Section 1032 include “[t]aking, video recording, and transcribing necessary depositions, including an original and one copy of those taken by the claimant and one copy of depositions taken by the party against whom costs are allowed.”

Here, Responding Defendants argue that the depositions were “absolutely necessary for the preparation of Defendants’ defense as Defendants needed to know what potential evidence existed in the case.” (Opp. 3:11-12.) Responding Defendants argue that whether or not the testimony from each deposition was actually used does not determine whether obtaining the deposition transcripts was necessary.

Responding Defendants correctly note that the test is not whether the depositions were actually used, but whether they were “reasonably necessary to litigating the case at the time they were incurred.” (Garcia v. Tempur-Pedic North America, LLC (2024) 98 Cal.App.5th 819, 824.) Thus, deposition costs of potential witnesses are recoverable, unless there were circumstances showing that the deposition was not reasonably necessary at the time it was taken. (Id. at 825.)

The court finds that Plaintiffs have not demonstrated that any of the depositions taken by Responding Defendants were not reasonably necessary at the time they were taken and declines to strike these costs.

C. Court-Ordered Transcript Costs

Plaintiffs challenge Responding Defendants' claimed \$1,952.28 for court-ordered transcripts on the grounds that they are "not aware of any Court-ordered transcripts in this action." (Mot. 7:27-28.)

Code of Civil Procedure Section 1033.5 expressly states that fees for "transcripts in court proceedings not ordered by the court" are not recoverable. Here, Responding Defendants argue that the court requested that the parties order transcripts of the trial proceedings to prepare closing briefs. Responding Defendants submit a copy of the court's December 12, 2025 Minute Order in which the court ordered counsel to "provide the testimony transcript." (Kalter Decl., Exh. 2, p. 1.)

Therefore, the court declines to strike these costs.

D. Court Reporter Fees

Plaintiffs seek to strike the \$4,750.00 claimed by Responding Defendants for court reporter fees on the grounds that the parties agreed to share the court reporter fees equally without agreeing to allow for later recovery of the split fees.

Court reporter fees are expressly recoverable under Code of Civil Procedure Section 1033.5(a)(11). Further, Plaintiffs have provided no evidence of an agreement between Plaintiffs and Responding defendants regarding the court reporter fees. The court finds that a court reporter's presence is reasonably necessary to the litigation and declines to strike these costs.

E. Models, Enlargements, and Photocopies of Exhibits

Plaintiffs challenge Responding Defendants' claimed \$210.27 in costs pertaining to models, enlargements, and photocopies of exhibits, arguing that Responding Defendants have not explained how the claimed costs were incurred.

Responding Defendants argue that they incurred costs to print and deliver copies of court-ordered transcripts to the court and argue that in the alternative, this claimed cost could be recoverable under the category of "court-ordered transcripts."

The cost of models, enlargements, photocopies, electronic presentations, and other similar costs are allowable if they were reasonably helpful to aid a trier of fact. (Code Civ. Proc. Section 1033.5(a)(13).) These costs are not recoverable if the materials were not presented to the trier of fact. (Segal v. ASICS America Corp. (2022) 12 Cal.5th 651, 665.) However, the court has discretion under Code of Civil Procedure Section 1033.5(c)(4) to allow the costs if they were reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial to its preparation. (Id.)

Here, the court finds that Responding Defendants have shown that printing and delivering the copies of the transcripts to the court was reasonably necessary to the conduct of the litigation because the court had ordered the transcripts and the transcripts were used as exhibits in the closing briefs.

Therefore, the court exercises its discretion to allow Responding Defendants' claimed exhibit-related costs.

F. Electronic Filing Fees

Plaintiffs next object to Responding Defendants' claimed \$1,633.57 in fees for electronic filing or service on the grounds that Responding Defendants have not demonstrated that the costs were actually incurred and reasonably necessary.

Pursuant to Code of Civil Procedure Section 1033.5(a)(14), a party may recover "[f]ees for the electronic filing or service of documents through an electronic filing service provider if a court requires or orders electronic filing or service of documents." (Code Civ. Proc. Section 1033.5(a)(14).)

This court requires electronic filing. Further, the court finds that Responding Defendants' requested electronic filing or service fees of \$1,633.57 are reasonable on their face. Therefore, the court does not find that the electronic filing fees were unreasonably or unnecessarily incurred and declines to strike Responding Defendants' claimed electronic filing fees.

G. "Other" Costs

Finally, Plaintiffs object to the \$12,321.25 claimed by Responding Defendants for "other" costs because Responding Defendants have not provided sufficient supporting information.

The court has reviewed Attachment 15 to Responding Defendants' memorandum of costs which states that Responding Defendants' "other" costs are itemized as \$10,291.25 in expert witness fees and \$2,030.00 in mediation fees.

Responding Defendants argue that the expert witness fees are recoverable because Responding Defendants made a Code of Civil Procedure Section 998 offer to Plaintiffs before trial which was rejected. (Kalter Decl., Exh. 3.)

Code of Civil Procedure Section 998(c)(1) provides: "If an offer made by a defendant is not accepted and the plaintiff fails to obtain a more favorable judgment or award, the plaintiff shall not recover their postoffer costs and shall pay the defendant's costs from the time of offer. In addition, in any action or proceeding other than an eminent domain action, the court or arbitrator, in its discretion, may require the plaintiff to pay a reasonable sum to cover postoffer costs of the services of expert witnesses, who are not regular employees of any party, actually incurred and reasonably necessary in either, or both, preparation for trial or arbitration, or during trial or arbitration, of the case by the defendant."

Because Responding Defendants have submitted a copy of their Section 998 offer which was rejected by Plaintiffs, the court has discretion to order Plaintiffs to pay reasonable expert fees to Responding Defendants. The court finds that Plaintiffs have failed to show that Responding Defendants' claimed expert fees are unreasonable or excessive.

Therefore, the court declines to strike Responding Defendants' claimed \$10,291.25 in expert witness fees.

Regarding the mediation fees, Plaintiffs acknowledge in their reply that mediation costs are awardable in the court's discretion. (Reply, 4:25-26.)

Code of Civil Procedure Section 1033.5(c)(4) provides that "[i]tems not mentioned in this section and items assessed upon application may be allowed or denied in the court's discretion." Section 1033.5(c)(2) states that "[a]llowable costs shall be reasonably necessary to the conduct of the litigation rather than merely convenient or beneficial."

Responding Defendants argue that they attempted to settle with Plaintiffs at mediation, and the opposition brief states that the first mediation session was required pursuant to the parties' Real Estate Purchase Agreement. The court finds that mediation fees were incurred before litigation was commenced under the terms of the Real Estate Purchase Agreement. Thus, the cost was not necessary to the conduct of the litigation and the court exercises its discretion to reduce Responding

Defendants' memorandum of costs by \$2,030.00

Accordingly, Plaintiffs' Motion to Tax Costs is GRANTED in part and DENIED in part. The court GRANTS Plaintiffs' Motion to Tax the memorandum of costs by \$2,030.00.

CONCLUSION

Based on the foregoing, Plaintiffs' Motion to Tax Costs is GRANTED in part and DENIED in part. The court GRANTS Plaintiffs' Motion to Tax the memorandum of costs by \$2,030.00.

Moving party is ordered to give notice of ruling.